

InterDigital (NasdaqGS: [IDCC](#))

Price (13 Mar 2026): US\$ 359.07A	TTM P/E: 22.1x	Net Profit Margin (FY2025): 48.8%
Performance YTD: +10.1%	EV/EBITDA: 11.9x	FCF Margin (FY2025): 63.4%
Performance 1y: +74%	NTM TEV/S: 9.8x	ROIIC 3y: 44%

Summary

InterDigital is a pure-play intellectual property (IP) licensing company focused on wireless, video, and AI technologies. The company actively contributes to the development of global communication standards and monetizes its patent portfolio through long-term licensing agreements with OEMs and global technology players. IDCC operates a capital-light, IP-driven business model characterized by upfront fixed costs in R&D and legal enforcement, near-zero marginal costs, minimal capex, and structurally high margins. With no exposure to hardware manufacturing or end-market competition, IDCC converts incremental revenue almost entirely into EBITDA and free cash flow. As of March 2026, revenue CAGR stands at 22% over three years and 18% over five years.

Investment Thesis

InterDigital combines exceptional revenue quality with extreme operating leverage. Once the fixed cost base is in place, each additional licensing agreement flows through at close to 100% incremental margin. In FY2025, operating margin reached 55.3%, net margin 48.8%, and free cash flow \$473.9M, a company record, representing a 56.8% FCF margin on reported revenue. **Net income grew 13% year-over-year to \$406.6M despite a 4% decline in reported revenue**, as operating expenses fell 13% to \$373.2M following the wind-down of the prior litigation cycle. Adjusted EBITDA reached a record \$588.9M, implying a 71% EBITDA margin. GAAP diluted EPS came in at \$11.80; non-GAAP¹ EPS at a record \$15.31.

The patent portfolio benefits from intangible economies of scale. Each new patent increases the probability of inclusion in future standards and lowers the marginal cost of incremental innovation, creating a self-reinforcing moat where scale strengthens defensibility. ROIC as conventionally calculated exceeds 100%, reflecting the asset-light structure of the licensing model rather than financial engineering. With only 460 employees, \$1.81M in revenue per employee, and a balance sheet carrying minimal tangible assets, the denominator of any invested capital calculation is structurally compressed. The more meaningful comparison is between WACC (12.68%) and EBITDA

¹ GAAP vs. non-GAAP measures explained in the last section of the document.

margin (71%). The spread between the two defines the magnitude of value creation per dollar of revenue. On an incremental basis, ROIIC over the FY2023–FY2025 period stands at approximately 58%: **each additional dollar invested in R&D and patent development generated \$0.58 of incremental operating income**, yet this figure is conservative, as it does not capture the future monetization potential embedded in the 5G Advanced and 6G patent pipeline currently being built.

As displayed in the table below, the FY2024 ROIIC of 87.6% is “artificially” elevated. The \$185M jump in NOPAT that year reflects \$460M in catch-up payments from the Samsung, OPPO, and Lenovo agreements, not a genuine improvement in the underlying return on incremental investment. The FY2025 figure of 13% is distorted in the opposite direction for the same reason. The most analytically honest figure is the 3-year cumulative ROIIC of approximately 45% measured across FY2022–FY2025, it averages out the catch-up timing noise and isolates the true return that IDCC’s intellectual capital investment program generates on a sustained basis, every dollar of R&D and patent development spending has produced roughly \$0.45 of incremental after-tax operating profit over a full licensing cycle. This distortion is also central to the mispricing thesis discussed in the next section of the document, the same catch-up mechanics that inflate and compress ROIIC year-to-year make the business appear inconsistent to investors who read reported revenue and earnings at face value. A 4% revenue decline followed by a 13% ROIIC naturally triggers concerns about business deterioration; however, these concerns dissolve entirely once the catch-up component is stripped out, and **ARR is used as the reference metric**. The result is artificial price volatility disconnected from any change in intrinsic value, creating periodic entry points for investors with a longer time horizon and the analytical framework to distinguish timing noise from structural impairment.

Metric	FY2021	FY2022	FY2023	FY2024	FY2025*
Revenue	425,4	457,8	549,6	868,5	834,0
Operating Income	107,8	150,5	221,6	439,5	460,9
Effective tax rate	14%	14%	13%	14%	12%
NOTPAT	92,7	129,4	192,8	378,0	405,6
R&D	200,5	185,2	195,3	196,9	178,0
Capex/Patent Costs	18,5	16,3	15,8	15,5	14,0
Invested Capital	219,0	201,5	211,1	212,4	192,0
Δ NOPAT	-	36,7	63,4	185,2	27,6
ROIIC	-	16,8%	31,4%	87,7%	13,0%
ROIIC 3y					44,1%

* FY2025 R&D and Capex are estimated pending the full FY2025 10-K filing (expected February/March 2026). R&D estimate derived from total operating expenses of \$373.2M less estimated licensing costs (~\$130M) and G&A (~\$65M). FY2025 annual ROIIC appears suppressed (13%) because ΔNOPAT is compressed by the year-over-year decline in catch-up revenue relative to FY2024. The most meaningful figure is the 3-year cumulative ROIIC (~45%), which normalizes timing volatility. Historical data source: SEC EDGAR 10-K filings FY2022, FY2023, FY2024. Operating income FY2021–FY2024 from GAAP income statement.

Market Mispricing

The market continues to misprice IDCC on two dimensions. First, it **confuses revenue timing volatility with business volatility** (as described in the previous paragraph), despite the underlying durability of cash flows. In FY2024, IDCC recognized \$460M in catch-up payments within reported GAAP revenue; in FY2025, that figure dropped to \$277M, producing a 4% headline revenue decline that masked a material acceleration in the contracted recurring base. Annualized Recurring Revenue (ARR), the metric that strips out this timing noise and captures the run-rate value of active licensing contracts, grew 24% year-over-year to \$582M at year-end FY2025, with **two-thirds of the \$92M in contracts expiring at end-2025 already renewed**. Second, the market struggles to model the embedded optionality of the patent portfolio, resulting in compressed multiples relative to earnings quality.

At 9.8x NTM TEV/Sales, the market is pricing revenues meaningfully below LTM levels, despite ARR growing at 24% annually. Any normalization in valuation multiples would amplify upside directly. On reported FY2025 GAAP EPS of \$11.80, the stock trades at 22.1x trailing earnings, a discount to pure-IP peers Rambus (38x) and Dolby (32x), which generate structurally lower FCF margins. On a forward basis, applying the FY2026 guidance midpoint (\$725M revenue) with a conservative net margin assumption of 45% implies NTM EPS of approximately \$9.50–\$10.50 on a GAAP basis, or \$13–\$15 on a non-GAAP basis consistent with the company's own non-GAAP reporting framework. A re-rating to 28x NTM non-GAAP EPS would imply a price range of \$364–\$420, versus a current price of \$359. The asymmetry is clear: **the downside is bounded by the contracted recurring base; the upside is a function of when, not whether, the multiple normalizes.**

It is worth mentioning that the market seems to have partially corrected this mispricing over the past twelve months. IDCC appreciated 74% in the year, suggesting that investors are reading through the timing noise and price the recurring base more accurately. However, the re-rating is incomplete, at 22x trailing GAAP P/E, the stock still trades at a meaningful discount to pure-IP peers, and the mechanism that caused the original undervaluation remains in place and will recur in future licensing cycles, creating the conditions for renewed mispricing in either direction.

Key Value Catalysts

Licensing renewals and new agreements improve revenue visibility and reduce risk. IDCC extended coverage to eight of the top ten global handset vendors in FY2025, adding HP and LG Electronics. Expansion beyond handsets, into consumer electronics, IoT, and automotive, increases licensee breadth and average contract duration. Active enforcement of the patent portfolio — including injunctions obtained against Disney in Brazil and Germany and enforcement proceedings initiated against Amazon — signals that SEP (Standard-Essential Patent) pricing power is being defended aggressively across jurisdictions, not only in the US. 6G standardization restarts a multi-year R&D

and monetization cycle, reinforcing IDCC's role as critical infrastructure for future wireless ecosystems. The **company's stated target of \$1B in ARR by 2030** implies approximately 11% annual growth from the current base. Guidance revisions can quickly reset market expectations given the high earnings sensitivity to revenue levels.

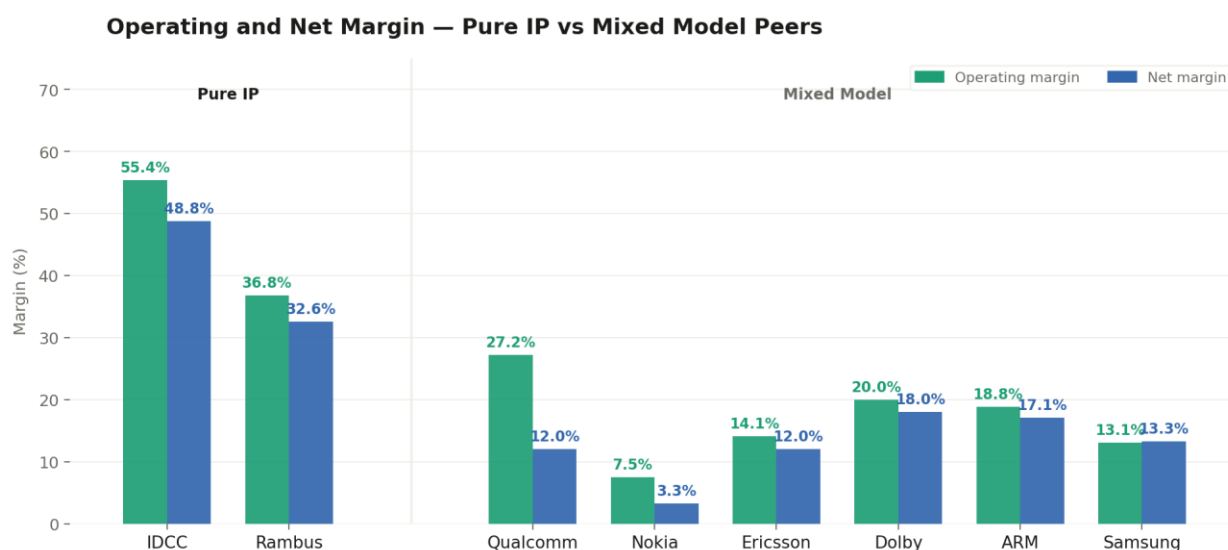
Downside Case, Key Risks and Thesis Invalidation

The thesis would be invalidated by a structural weakening of the FRAND framework through adverse regulation or jurisprudence, that reduces SEP holders' pricing power. Alternative standards or disruptive technologies could reduce the relevance of IDCC's existing patent portfolio. Revenue concentration in time remains the most visible near-term risk: if multiple licensing negotiations slip into the same fiscal year, reported results and the stock can experience drawdowns. This is primarily a timing risk rather than an erosion of intrinsic value, but it can affect sentiment in the short term and compress multiples temporarily. Management has provided FY2026 guidance of \$675–775M in revenue from existing contracts, excluding any contribution from new agreements or arbitration outcomes, a deliberately conservative base that sets a low bar for upward revision. In a downside scenario driven by regulatory pressure or licensing delays, the stock could de-rate meaningfully; but in the absence of a structural break in the licensing model, **downside is bounded by the durability of contracted cash flows**, while **upside remains cumulative and asymmetric for long-term investors**.

Peer Group Analysis

Operating and Net Margin: Pure IP vs Mixed Model Peers

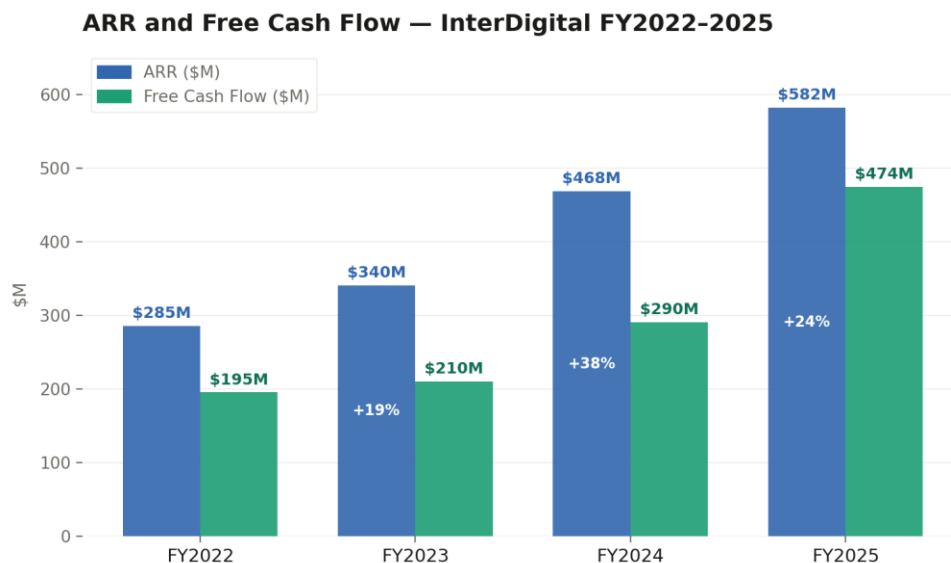
The chart separates peers by business model to isolate the structural margin advantage of pure IP licensing. Companies on the left — InterDigital and Rambus — generate revenue exclusively from patent royalties, with no hardware manufacturing or service delivery costs. Once the fixed cost base (R&D, patent prosecution, legal enforcement) is in place, each incremental licensing agreement flows through at near-100% gross margin, producing operating margins above 36% and net margins above 32%. Companies on the right operate mixed models combining IP with semiconductors, network equipment, or consumer electronics, which introduce significant COGS, capex, and working capital drag. The gap is structural, not cyclical: it reflects the fundamental difference between a cost base that scales with headcount and litigation, and one that scales with units shipped and components sourced. Even Rambus, the closest comp in terms of business model, trades at a 15–20pp margin discount across both metrics, in part reflecting a less concentrated and lower-value patent portfolio in memory interface IP versus wireless/video standards.



Annualized Recurring Revenue and Free Cash Flow: IDCC FY2022–2025

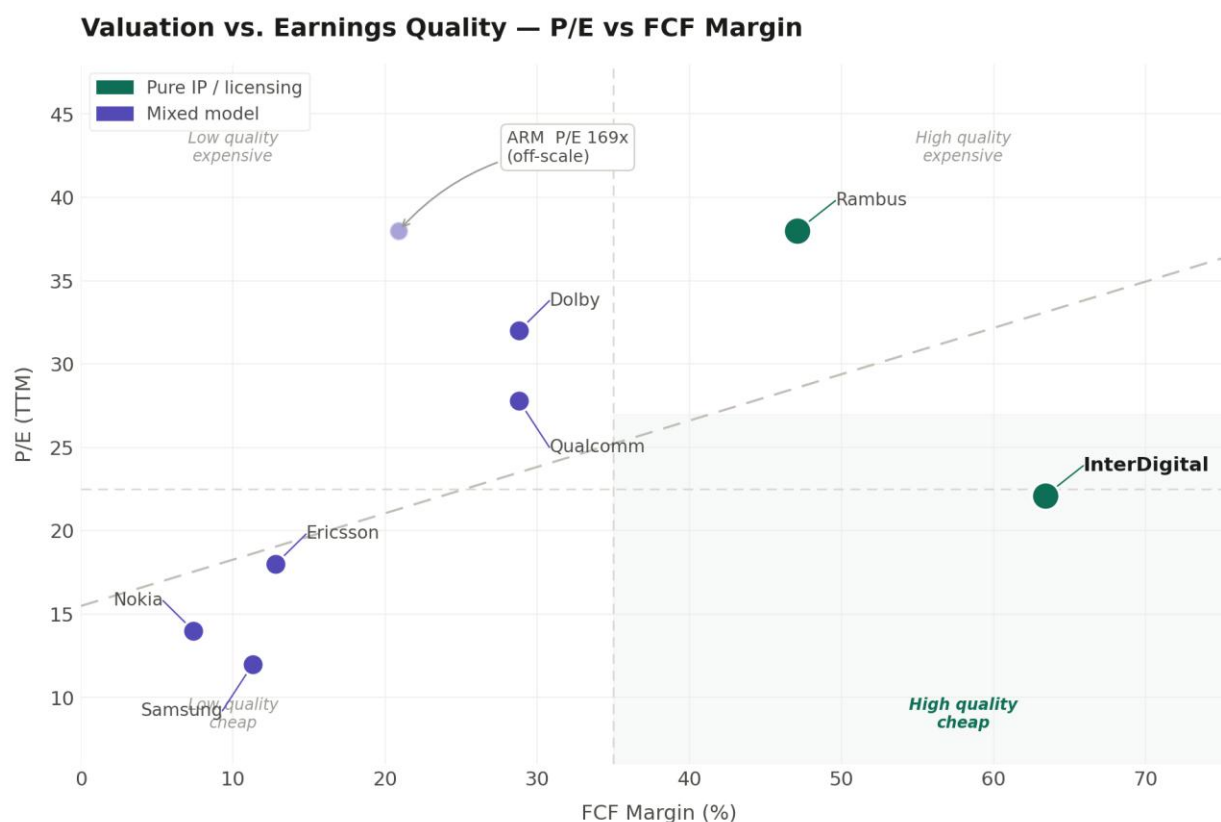
The chart tracks two parallel measures of InterDigital's underlying business momentum.

IDCC reported \$582M in Annualized Recurring Revenue (ARR) at the end of FY2025, up 24% year-over-year. ARR is a non-GAAP operating metric disclosed voluntarily by the company in its quarterly earnings press releases. It is calculated by taking all active licensing contracts at a given point in time, annualizing the fixed recurring payments due under each agreement, and summing across the portfolio. ARR excludes one-time catch-up payments, one-time lump sums that cover prior unlicensed periods, typically recognized when a multi-year negotiation or dispute concludes. ARR is the cleanest measure of the company's contracted revenue base, insulated from the timing volatility that distorts reported GAAP revenue year to year. Free Cash Flow captures what is actually available to shareholders after all operating expenses and minimal capital expenditure. The divergence between the two in FY2025 is notable: **ARR grew 24% to \$582M while reported revenue declined 4%**, precisely because FY2024 included \$460M in catch-up payments versus \$277M in FY2025. FCF meanwhile hit a record \$474M, confirming that cash generation was unaffected by the headline revenue comparison. The company's stated target is \$1B in ARR by 2030, implying a ~11% CAGR from the current base.



Valuation vs. Earnings Quality: P/E vs FCF Margin

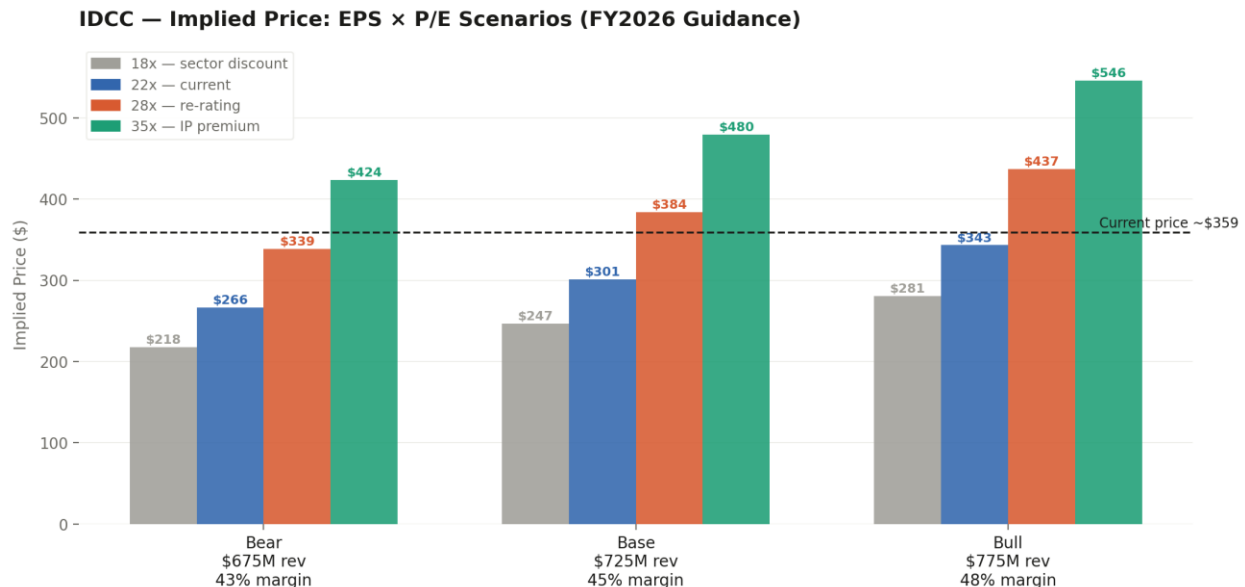
The scatter plot maps each company's free cash flow margin against its trailing P/E multiple. FCF margin is the preferred quality metric here because it is less susceptible to accounting discretion than GAAP net income. In fact, it captures the actual cash-generative power of the business net of reinvestment needs. The diagonal trendline represents the relationship between quality and price implied by the peer set as a whole; companies above the line are expensive relative to their FCF quality, companies below it are cheap. With high FCF margin (63.4%) and low TTM P/E (22x), InterDigital sits in the lower-right quadrant making it the most mispriced name in the peer group on this metric. The market is applying a cyclical-company multiple to a business with software-like cash conversion. ARM, excluded from the scale at P/E 169x, illustrates what the market is willing to assign to pure IP when the narrative is growth rather than value; the gap between ARM's multiple and IDCC's is not explained by FCF quality differences, but by market perception of addressable market expansion, a re-rating catalyst that 6G standardization could partially replicate for IDCC.



IDCC 's implied price over different scenarios: P/E x EPS

The plot shows IDCC's implied stock price under a few combinations of revenue scenario and P/E re-rating. The three scenario columns reflect **FY2026 guidance**: a **bear case** (\$675M revenue, 43% net margin), a **base case** (\$725M, 45%), and a **bull case** (\$775M, 48%). Net income per scenario is divided by the diluted share count (25.7M) to derive NTM EPS. Each bar then applies a different P/E multiple: 18x (**current sector discount**, reflecting the market's treatment of IDCC as a cyclical name), 22x (**current trailing multiple**), 28x (**partial re-rating** toward Dolby/Rambus comps), and 35x (**full IP premium**, in line with pure-play licensing peers at quality-adjusted multiples). The dashed line marks the current price. The chart illustrates two structural properties of the thesis.

- **Downside is limited:** even in the bear case, the current multiple (22x) implies a price of about \$266, a drawdown scenario driven entirely by catch-up revenue timing, not by erosion of the recurring base, potentially showing an entry-point for long-term investors.
- **Upside is asymmetric and cumulative:** in the base or bull case, any re-rating toward 28–35x, which is the natural destination as ARR visibility improves and 6G standardization accelerates, produces implied prices of \$384–\$546, representing 7–52% upside from current levels without requiring any EPS outperformance.



GAAP vs. non-GAAP measures

A note on GAAP vs non-GAAP figures. InterDigital reports both GAAP and non-GAAP results. The divergence between the two is material and worth understanding before interpreting any per-share metric. The main adjustments are:

- stock-based compensation (excluded from non-GAAP, consistently \$40–55M per year),
- amortization of acquired intangible assets,
- certain litigation-related costs.

In FY2025, GAAP diluted EPS was \$11.80 versus non-GAAP EPS of \$15.31, a gap of \$3.51, almost entirely explained by stock-based compensation and amortization. So, **which one should we consider?**

- **GAAP EPS** is the legally binding number and the one used to compute the P/E multiples cited in this analysis; it reflects the **full economic cost of running the business** including equity dilution from employee compensation.
- **Non-GAAP EPS** is more useful for **cash flow comparisons** and for benchmarking against peers who also exclude SBC, as it strips out non-cash charges that do not affect the company's ability to generate and distribute cash.

The practical implication: when comparing IDCC's P/E of 22.1x to Rambus or Dolby, it is important to know whether the peer multiple is computed on GAAP or non-GAAP earnings — mixing the two frameworks understates or overstates the valuation gap. On a non-GAAP basis, IDCC's trailing P/E falls to approximately 23.5x ($\$359 / \15.31), which if anything makes the discount to peers even more pronounced given the superior FCF margin.